

New Authority Insurance Handbook

A plain-English guide for owner-operators and small fleets getting started

Affordable Truck Insurance Inc

getinsuredtrucking.com

darin@insuredtrucking.com

Who this is for

This handbook is for you if you are:

- Getting your own operating authority for the first time
- Going from company driver to owner-operator
- Starting a 1- to small-fleet trucking company
- Looking for insurance after a referral source said they only write single-truck shops

I am Darin Austin. I own Affordable Truck Insurance Inc in Kentucky. I have been in insurance more than 30 years. I specialized in trucking in 2014. I am a Transportation Risk Specialist (MCIEF).

I write for-hire trucking for owner-operators, small fleets, and new ventures — general freight, flatbed, and reefer — in Kentucky, Tennessee, Texas, Alabama, Missouri, Indiana, Florida, Georgia, and North Carolina.

This is education, not legal advice, and not a coverage determination. Coverage is only as stated in the policy. Your operation, your drivers, and the market that day all matter. If something here does not match what your agent or attorney tells you for your situation, follow the people looking at your file.

What 'new authority' means in plain English

Authority is permission from FMCSA to operate as a for-hire motor carrier in interstate commerce. People often say "getting my MC" or "getting my authority."

In practice it usually means:

- You have (or are getting) a USDOT number.
- You apply for operating authority (often an MC number for interstate for-hire).
- You carry the insurance and filings the rules require for that authority.
- You finish the other startup pieces: process agents, UCR, IFTA if you run diesel interstate, and the state pieces that apply to you.

A policy in your email is not the same thing as active authority. For interstate for-hire trucking, the insurance company generally files proof of financial responsibility with FMCSA after the policy is bound. You do not file that form yourself. Until the filing shows, SAFER can still read as not authorized.

Intrastate-only operations (staying inside one state) follow state rules, not the same FMCSA authority path. Ask before you assume the interstate checklist applies.

New venture in insurance language usually means a carrier with little or no prior operating history under that authority. Underwriters treat that differently than a five-year shop with clean loss runs. That does not mean you cannot get coverage. It means the file has to be clean, complete, and honest.

Day 1-21 timeline (insurance + ops checkpoints)

Every shop moves at a different speed. Use this as a checkpoint list, not a promise that day 12 always works.

Days 1-3 — Get your house in order

- Decide what you haul, what you run (radius), and how many units on day one.
- Confirm legal name, EIN, and where the company is based.
- Apply for or confirm your USDOT number.
- Start the operating authority application if you need interstate for-hire authority.
- Line up a process agent (BOC-3) if required for your authority type.
- Make a folder: CDLs, MVR releases, equipment list, lease or titles, driver apps.

Days 4-7 — Put the insurance file together

- List every driver who will be on the policy, with CDL class and years of experience.
- List every power unit and trailer (year, make, VIN, value, ownership or lease).
- Write down commodities and operating radius in plain language.
- Note any prior business names, prior authority, or prior insurance.
- If you have prior coverage, request loss runs early. They take time.
- Email an agent who writes new ventures. Include MC/DOT (or "pending"), commodity, units, radius, and base state.

Days 8-14 — Quote, bind, file

- Answer underwriter questions the first time. Incomplete answers stall everything.
- Compare quotes on limits, deductibles, exclusions, and what is actually covered — not just the monthly number.
- When you bind, confirm the insurer will make the FMCSA filing and that legal name, DOT, and MC match FMCSA records.
- Watch for the filing to show. A mismatch on name or numbers slows this down.
- Finish UCR and any state filings that apply.

Days 15-21 — Before the first load

- Confirm authority / filing status on SAFER (or the tools your agent uses).
- Confirm IFTA account if you will run diesel interstate.
- Confirm drivers are on the policy before they turn a wheel.
- Confirm equipment is scheduled if physical damage is on the policy.
- Keep copies of the policy, ID cards, and filing confirmation in the truck and in the office.

If something is pending, say so. "Pending DOT" is better than a guess that gets corrected after bind.

What carriers and agents usually need

Bring as much of this as you can on the first email. Missing pieces do not always kill a quote. They do slow it down.

Company / authority

- Legal name (exactly as on FMCSA / state filings)
- EIN
- USDOT number (or "applied / pending")
- MC number (or "pending")
- Base state / domicile
- Years in business / prior authority under another name
- Commodity and whether you are for-hire

Drivers

- Full name and date of birth
- CDL number and state, class, endorsements
- Years of CDL experience (and years in the type of equipment you run)
- Hire date / when they will start
- MVR (motor vehicle record) — agents often order this; have the driver ready to authorize
- Any major violations, suspensions, or gaps you already know about — disclose them

Equipment

- Year, make, model, VIN
- Stated value (what you need physical damage for, if any)
- Owned, financed, or leased
- Trailer details if trailers are scheduled
- Where the truck sleeps at night (parking / garaging)

Operations

- What you haul (general freight, flatbed, reefer — be specific)
- Radius (local, regional, long-haul — use miles if you know them)

-- 6 of 12 --

- Lanes or regions you expect to run
- Owner-operator vs company drivers
- Number of units now and in the next 90 days

Prior insurance / claims

- Current or prior carrier name and policy dates
- Loss runs (usually 3–5 years if you have history)
- Open claims or recent accidents — disclose early

You do not need a perfect binder on day one. You need enough truth for an underwriter to price the risk.

Common mistakes that kill quotes or raise rates

1. **Wrong legal name or number on the application** — Name, DOT, and MC must match FMCSA. Filings stall when they do not.
2. **Assuming a binder equals authority** — The insurance filing with FMCSA is a separate step after bind. Plan for it.
3. **Hiding a driver or a violation** — It surfaces on the MVR. Undisclosed risk is worse than an ugly MVR you explained up front.
4. **Vague commodities** — "Freight" is not enough. Flatbed steel and reefer produce are different risks. Say what you haul.
5. **Radius creep** — Quoting local and then running coast-to-coast without telling anyone creates claim and audit problems. Quote the radius you will actually run.
6. **Equipment values that do not match reality** — Too low and you cannot replace the truck. Too high and you pay for coverage you do not need. Use a number you can defend.
7. **Waiting until the load is booked to start insurance** — New-venture files take time. Start the insurance conversation when you start the authority paperwork.
8. **Shopping only on monthly payment** — Limits, cargo, physical damage, deductibles, and excluded commodities matter more than a low down payment.
9. **Adding a driver after a claim "because they were helping"** — If they are not on the policy when the wheels turn, you have a problem. Add them first.
10. **Ignoring state fit** — Not every agent writes every state. Confirm the shop can place your base state and the states you run before you send a full packet.

I will not promise the lowest rate. I will tell you what I can place, what I cannot, and what the underwriter is going to ask.

States Affordable Truck Insurance Inc focuses on

I am set up to write in:

**Kentucky · Tennessee · Texas · Alabama · Missouri
Indiana · Florida · Georgia · North Carolina**

Coverage availability, carriers, and appetite vary by state, commodity, radius, and driver. I do not write all 50 states. If you are based outside that list, say so in your email. I will tell you whether I can help or whether you need someone else.

This list is about where I work. It is not a guarantee that every risk in those states can be placed.

One-page checklist (print this)

Before you request a quote

- ☐ Legal company name locked in
- ☐ EIN ready
- ☐ USDOT (issued or pending)
- ☐ MC / authority (issued or pending)
- ☐ Base state confirmed
- ☐ What I haul written in one sentence
- ☐ Radius written in one sentence
- ☐ Unit count (now + next 90 days)
- ☐ Driver list with CDL class and years of experience
- ☐ Equipment list with year / make / VIN / value
- ☐ Prior insurance or "brand new — no loss runs" noted
- ☐ Loss runs requested if I have history
- ☐ Honest note on accidents, gaps, or prior authority under another name

Before first load

- ☐ Policy bound
- ☐ FMCSA insurance filing showing (interstate for-hire)
- ☐ SAFER / authority status checked
- ☐ Drivers on the policy
- ☐ Equipment scheduled if PD is purchased
- ☐ ID cards and policy docs in the truck
- ☐ IFTA / UCR / state pieces done if they apply

Email me with

1. MC or DOT number (or "pending")
2. Commodity (general freight, flatbed, reefer — be specific)
3. Unit count

4. Operating radius

-- 10 of 12 --

5. Base state

-- 11 of 12 --

Request a quote

If this is your operation, I am glad to look at it.

Affordable Truck Insurance Inc
getinsuredtrucking.com
darin@insuredtrucking.com

Send the five items above. I will tell you what I need next. If we are not a fit, I will say that in the first email.

Not legal advice. Not a coverage determination. Quotes depend on underwriting. Coverage is only as stated in the policy.

— *Darin Austin*
Transportation Risk Specialist

This page intentionally left blank